

Amãna Bank



Amana Bank PLC (PB 3618 PQ)

Interim Financial Statements

30 September 2023

Vision

To be an admired leader in providing equitable financial solutions, not limited to numerics, but also in earning the trust of our customers, employees, shareholders and country.

Mission

To adopt a unique and people friendly approach in banking with a passion for continuous improvement, enabling growth and enriching lives.

STATEMENT OF PROFIT OR LOSS

FOR THE PERIOD ENDED

	FOR THE NINE MONTHS ENDED 30 SEPTEMBER			FOR THE QUARTER ENDED 30 SEPTEMBER		
	2023	2022	Change	2023	2022	Change
	(Rs. '000)	(Rs. '000)	%	(Rs '000)	(Rs '000)	%
Financing Income	12,974,294	8,091,846	60%	4,220,123	3,239,600	30%
Financing Expenses	(8,123,917)	(4,987,935)	63%	(2,733,733)	(2,138,896)	28%
Net Financing Income	4,850,377	3,103,911	56%	1,486,390	1,100,704	35%
Net Fee and Commission Income	701,451	516,229	36%	227,076	230,952	(2%)
Net Trading Income	1,166,979	637,146	83%	544,087	212,544	156%
Net Gains / (Losses) from Financial Investments at Fair Value through Profit or Loss	16,836	(7,934)	312%	6,141	18,821	67%
Net Gains / (Losses) from Derecognition of Financial Assets	119	(257)	146%	231	(111)	308%
Net Other Operating Income	2,118	3,001	(29%)	624	73	755%
Total Operating Income	6,737,880	4,252,096	58%	2,264,549	1,562,983	45%
Impairment Charges	(1,448,749)	(758,563)	91%	(12,277)	(264,155)	(95%)
Net Operating Income	5,289,131	3,493,533	51%	2,252,272	1,298,828	73%
Personnel Expenses	1,350,972	1,095,968	23%	475,771	370,866	28%
Depreciation and Amortisation of Property, Plant, Equipment and Right-of-Use Assets	200,178	226,747	(12%)	64,293	75,469	(15%)
Other Operating Expenses	1,195,098	846,791	41%	400,174	310,145	29%
Total Operating Expenses	2,746,248	2,169,506	27%	940,238	756,480	24%
Operating Profit Before VAT on Financial Services & Social Security Contribution Levy	2,542,883	1,324,027	92%	1,312,034	542,348	142%
VAT on Financial Services & Social Security Contribution Levy	(866,060)	(384,039)	126%	(438,062)	(159,306)	175%
Profit Before Tax	1,676,823	939,988	78%	873,972	383,042	128%
Tax Expenses	(785,365)	(339,495)	131%	(402,110)	(144,564)	178%
Profit for the Period	891,458	600,493	48%	471,862	238,478	98%
Earnings Per Share - Basic / Diluted (in Rs.)	0.31	0.21	48%	0.16	0.08	99%

STATEMENT OF COMPREHENSIVE INCOME
FOR THE PERIOD ENDED

	FOR THE NINE MONTHS ENDED 30 SEPTEMBER			FOR THE QUARTER ENDED 30 SEPTEMBER		
	2023 (Rs. '000)	2022 (Rs. '000)	Change %	2023 (Rs '000)	2022 (Rs '000)	Change %
Profit for the Period	891,458	600,493	48%	471,862	238,478	98%
Other Comprehensive Income/(Loss)						
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:						
Financial Assets - Fair Value through Other Comprehensive Income:						
Net Gain / (Loss) on Financial Assets - Fair Value through Other Comprehensive Income	(2,701)	(16,206)	(83%)	29,710	64,822	(54%)
	(2,701)	(16,206)	(83%)	29,710	64,822	(54%)
Net Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:	(2,701)	(16,206)	(83%)	29,710	64,822	(54%)
Other Comprehensive Income / (Loss) for the Period Net of Tax	(2,701)	(16,206)	(83%)	29,710	64,822	(54%)
Total Comprehensive Income for the Period	888,757	584,287	52%	501,572	303,300	65%

STATEMENT OF FINANCIAL POSITION

AS AT

	30 SEP 2023 (Rs. '000)	31 DEC 2022 (AUDITED) (Rs. '000)	Change %
Assets			
Cash and Cash Equivalents	12,982,115	22,603,294	(43%)
Balances with Central Bank of Sri Lanka	9,264,301	5,085,679	82%
Placements with Banks	31,658,467	24,570,292	29%
Placements with Licensed Finance Companies	80	77	4%
Derivative Financial Assets	43,104	70,733	(39%)
Financial Assets Designated at Fair Value through Profit or Loss	22,876	59,561	(62%)
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	87,060,506	83,185,917	5%
Financial Assets Measured at Fair Value through Other Comprehensive Income	329,804	332,505	(1%)
Other Assets - Financial	3,297,963	2,323,566	42%
Property, Plant, Equipment And Right-of-Use Assets	2,383,894	2,466,761	(3%)
Intangible Assets	288,032	319,253	(10%)
Other Assets - Non Financial	552,398	262,467	110%
Deferred Tax Assets	407,786	407,786	-
Total Assets	148,291,326	141,687,891	5%
Liabilities			
Due to Banks	423,937	11,856,723	(96%)
Derivative Financial Liabilities	45,099	20,880	116%
Financial Liabilities at Amortised Cost - Due to Depositors	128,329,241	112,546,017	14%
Other Liabilities - Financial	3,240,723	2,041,967	59%
Current Tax Liabilities	520,626	645,606	(19%)
Dividend Payable	6,335	6,351	(0%)
Retirement Benefit Liability	116,970	109,412	7%
Other Liabilities - Non Financial	409,368	99,580	311%
Total Liabilities	133,092,299	127,326,536	5%
Shareholders' Funds			
Stated Capital	11,632,784	11,348,821	3%
Statutory Reserve Fund	197,102	197,102	-
Revaluation Reserve	1,008,277	1,008,277	-
Fair Value Reserve	82,692	85,393	(3%)
Retained Earnings	2,278,172	1,721,762	32%
Total Equity	15,199,027	14,361,355	6%
Total Liabilities and Shareholders' Funds	148,291,326	141,687,891	5%
Net Asset Value per Ordinary Share	5.24	4.95	
Commitments and Contingencies	45,523,709	34,188,931	
Memorandum Information			
Number of Employees	872	777	
Number of Branches	33	33	

CERTIFICATION:

I certify that these Financial Statements comply with the requirements of the Companies Act No. 07 of 2007.

Sgd.

M. Ali Wahid

Chief Financial Officer
9 November 2023

We, the undersigned, being Chairman and Managing Director / Chief Executive Officer of Amana Bank PLC certify jointly that:-

(a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka and Rule 7.4 of Colombo Stock Exchange.

(b) the information contained in these statements have been extracted from the unaudited Financial Statements of the Bank unless indicated as audited.

Sgd.

Ali Asghar Akbarally

Chairman
9 November 2023

Sgd.

Mohamed Azmeer

Managing Director / Chief Executive Officer
9 November 2023

STATEMENT OF CHANGES IN EQUITY
RUPEES IN THOUSANDS

	Stated Capital	Statutory Reserve Fund	Revaluation Reserve	Fair Value Reserve	Retained Earnings	Total
As at 31 December 2021 (Audited)	11,079,706	157,693	1,076,688	98,898	1,225,549	13,638,534
Profit for the nine months ended 30 September 2022	-	-	-	-	600,493	600,493
Total Comprehensive Income for the nine months ended 30 September 2022	-	-	-	(16,206)	-	(16,206)
As at 30 September 2022	11,079,706	157,693	1,076,688	82,692	1,826,042	14,222,821
Profit for the three months ended 31 December 2022	-	-	-	-	187,684	187,684
Other Comprehensive Income for the three months ended 31 December 2022	-	-	(67,325)	2,701	15,679	(48,945)
Scrip Dividend - 2022	269,115	-	-	-	(269,115)	-
Share Issue Expenses	-	-	-	-	(205)	(205)
Transfers to Statutory Reserve Fund	-	39,409	-	-	(39,409)	-
Transferred to Retained Earnings	-	-	(1,086)	-	1,086	-
As at 31 December 2022 (Audited)	11,348,821	197,102	1,008,277	85,393	1,721,762	14,361,355
Profit for the nine months ended 30 September 2023	-	-	-	-	891,458	891,458
Total Comprehensive Income for the nine months ended 30 September 2023	-	-	-	(2,701)	-	(2,701)
Share Issue Expenses	-	-	-	-	(974)	(974)
Scrip Dividend - 2023	283,963	-	-	-	(283,963)	-
WHT on Scrip Dividend	-	-	-	-	(50,111)	(50,111)
As at 30 September 2023	11,632,784	197,102	1,008,277	82,692	2,278,172	15,199,027

STATEMENT OF CASH FLOWS

FOR THE PERIOD ENDED

	FOR THE QUARTER ENDED 30 SEPTEMBER	
	2023 (Rs. '000)	2022 (Rs. '000)
Cash Flows from Operating Activities		
Financing Income Received	13,937,622	7,956,405
Fees and Commission Received	701,570	515,973
Financing Expenses Paid	(7,461,519)	(4,841,579)
Foreign Exchange Income	1,166,979	637,146
Gratuity Payments Made	(15,961)	(14,234)
Payments to Employees and Suppliers	(3,388,611)	(2,282,183)
Operating Profit/(Loss) before Changes in Operating Assets and Liabilities	4,940,080	1,971,527
(Increase) / Decrease in Operating Assets		
Financing and Receivable to Other Customers	(5,310,757)	(8,376,398)
Other Assets	(1,188,916)	(1,123,031)
Balance with Central Bank of Sri Lanka	(4,178,622)	116,351
Increase / (Decrease) in Operating Liabilities		
Due to Other Customers	15,146,998	13,449,894
Due to Banks	(11,432,786)	7,193,448
Other Liabilities	1,462,817	(13,045)
Net Cash Flow from Operating Activities before Income Tax	(561,186)	13,218,746
Income Tax Paid	(912,730)	(339,810)
Net Cash From / (Used In) Operating Activities	(1,473,916)	12,878,935
Cash Flows From/(Used In) Investing Activities		
Acquisition of Property, Plant & Equipment	(74,473)	(8,635)
Proceeds from Sale of Property, Plant and Equipment	-	73
Acquisition of Intangible Assets	(13,241)	(24,975)
Investments in Placements with Banks	(8,060,004)	(350,004)
Investments in Placements with Licensed Finance Companies	(3)	(3)
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	53,521	(22,952)
Dividend Received from Financial Assets	2,118	2,928
Net Cash From / (Used In) Investing Activities	(8,092,082)	(403,569)
Cash Flows From / (Used In) Financing Activities		
Share Issue Expenses and WHT on Scrip Dividend	(51,085)	-
Dividend Paid	(16)	(61)
Net Cash From / (Used In) Financing Activities	(51,101)	(61)
Net Increase / (Decrease) in Cash and Cash Equivalents	(9,617,099)	12,475,306
Cash and Cash Equivalents at the Beginning of the Year	22,607,924	8,674,644
Cash and Cash Equivalents at the End of the Period - Gross of Allowance for Impairment	12,990,825	21,149,950

CASH AND CASH EQUIVALENTS

	2023 (Rs. '000)	2022 (Rs. '000)
Cash in Hand	4,289,568	11,843,935
Balances with Banks	8,701,257	9,306,015
	12,990,825	21,149,950
Less: Allowance for Impairment	(8,710)	(2,390)
Total	12,982,115	21,147,560

NOTES TO THE FINANCIAL STATEMENTS

01. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies stated in the Annual Financial Statements describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

RUPEES IN THOUSANDS				
	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	TOTAL AS AT 30.9.2023
Financial Assets				
Cash and Cash Equivalents	-	12,982,115	-	12,982,115
Balances with Central Bank of Sri Lanka	-	9,264,301	-	9,264,301
Placements with Banks	-	31,658,467	-	31,658,467
Placements with Licensed Finance Companies	-	80	-	80
Derivative Financial Assets	43,104	-	-	43,104
Financial Assets Designated at Fair Value through Profit or Loss	22,876	-	-	22,876
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	87,060,506	-	87,060,506
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	329,804	329,804
Other Assets - Financial	-	3,297,963	-	3,297,963
Total Financial Assets	65,980	144,263,432	329,804	144,659,216
Financial Liabilities				
Due to Banks	-	423,937	-	423,937
Derivative Financial Liabilities	45,099	-	-	45,099
Financial Liabilities at Amortised Cost - Due to Depositors	-	128,329,241	-	128,329,241
Other Liabilities - Financial	-	3,240,723	-	3,240,723
Total Financial Liabilities	45,099	131,993,901	-	132,039,000

	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	TOTAL AS AT 31.12.2022 (AUDITED)
Financial Assets				
Cash and Cash Equivalents	-	22,603,294	-	22,603,294
Balances with Central Bank of Sri Lanka	-	5,085,679	-	5,085,679
Placements with Banks	-	24,570,292	-	24,570,292
Placements with Licensed Finance Companies	-	77	-	77
Derivative Financial Assets	70,733	-	-	70,733
Financial Assets Designated at Fair Value through Profit or Loss	59,561	-	-	59,561
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	83,185,917	-	83,185,917
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	332,505	332,505
Other Assets - Financial	-	2,323,566	-	2,323,566
Total Financial Assets	130,294	137,768,825	332,505	138,231,624
Financial Liabilities				
Due to Banks	-	11,856,723	-	11,856,723
Derivative Financial Liabilities	20,880	-	-	20,880
Financial Liabilities at Amortised Cost - Due to Depositors	-	112,546,017	-	112,546,017
Other Liabilities - Financial	-	2,041,967	-	2,041,967
Total Financial Liabilities	20,880	126,444,707	-	126,465,587

02. FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

RUPEES IN THOUSANDS

ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS	30.9.2023	31.12.2022 (AUDITED)
Gross Financing and Receivables to Other Customers	92,319,391	87,105,788
Accumulated Impairment		
Stage 1	(1,237,837)	(980,928)
Stage 2	(1,811,930)	(1,711,996)
Stage 3	(2,209,118)	(1,226,947)
Net Financing and Receivables to Other Customers	87,060,506	83,185,917

NOTES TO THE FINANCIAL STATEMENTS

ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - (Contd...)

FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

By Product - Domestic Currency	RUPEES IN THOUSANDS	
	30.9.2023	31.12.2022 (AUDITED)
Overdraft	8,580,437	6,438,293
Trade Finance	341,882	798,553
Lease Receivables	4,724,089	4,189,836
Staff Facilities	586,707	826,907
Term Financing	59,702,254	56,982,012
Gold Facilities	12,210,625	12,741,591
Others	288,828	538,730
Sub Total	86,434,822	82,515,922
By Product - Foreign Currency		
Overdraft	33,413	36,984
Term Financing	5,377,151	4,502,467
Trade Finance	297,281	45,592
Others	176,724	4,823
Sub Total	5,884,569	4,589,866
Total	92,319,391	87,105,788

03. IMPAIRMENT ALLOWANCE FOR FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 is as follows:

	RUPEES IN THOUSANDS			
	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT
ECL allowance as at 1 January 2023 under SLFRS 9	980,928	1,711,996	1,226,947	3,919,871
Charge/(Write Back) for the year	256,909	99,934	1,073,591	1,430,434
Amounts written off	-	-	(91,420)	(91,420)
As at 30 September 2023	1,237,837	1,811,930	2,209,118	5,258,885

	RUPEES IN THOUSANDS			
	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT
				(AUDITED)
ECL allowance as at 1 January 2022 under SLFRS 9	876,662	602,428	890,493	2,369,583
Charge/(Write Back) for the year	104,267	1,109,567	340,499	1,554,333
Amounts written off	-	-	(4,045)	(4,045)
As at 31 December 2022	980,929	1,711,995	1,226,947	3,919,871

NOTES TO THE FINANCIAL STATEMENTS

04. COMMITMENTS AND CONTINGENCIES

ANALYSIS OF COMMITMENTS AND CONTINGENCIES	RUPEES IN THOUSANDS	
	30.9.2023	31.12.2022 (AUDITED)
Gross Commitments and Contingencies	45,523,709	34,188,931
Accumulated Impairment		
Stage 1	(74,497)	(61,469)
Stage 2	(19,929)	(25,480)
Stage 3	(5,839)	(7,669)
Net Financing and Receivables to Other Customers	45,423,444	34,094,313

FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

	RUPEES IN THOUSANDS	
	30.9.2023	31.12.2022 (AUDITED)
Commitments for Unutilised Facilities	13,900,785	8,478,680
Letters of Credit	1,488,629	495,549
Guarantees, Bonds	5,711,811	4,888,624
Outward Clearing Cheques	764,625	902,611
Acceptances	4,148,005	3,410,237
Bills for Collection and Others	2,901,614	2,177,202
Promissory Forward Sales	2,592,000	4,693,278
Promissory Forward Purchases	14,016,240	9,142,750
Total	45,523,709	34,188,931

05. DUE TO OTHER CUSTOMERS - BY PRODUCT

ANALYSIS OF DEPOSITS	RUPEES IN THOUSANDS	
	30.9.2023	31.12.2022 (AUDITED)
By Product - Domestic Currency		
Demand Deposits	8,542,159	6,560,096
Savings Deposits	36,826,807	33,531,546
Time Deposits	57,398,299	45,487,820
Sub Total	102,767,265	85,579,462
By Product - Foreign Currency		
Demand Deposits	1,237,956	1,723,386
Savings Deposits	4,242,369	6,062,621
Time Deposits	20,081,651	19,180,548
Sub Total	25,561,976	26,966,555
Total	128,329,241	112,546,017

NOTES TO THE FINANCIAL STATEMENTS

06. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

All financial assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, as described below.

- Level 1 Quoted price (unadjusted) in active markets for the identical assets or liabilities. This level includes listed equity securities and / or debt instruments.
- Level 2 Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 Inputs for asset or liability that are not based on observable market data (unobservable inputs). This level includes equity and / or debt instruments with significant unobservable components.

	RUPEES IN THOUSANDS			
	LEVEL 1	LEVEL 2	LEVEL 3	TOTAL
As at 30 September 2023				
Financial Assets				
Derivative Financial Assets	-	43,104	-	43,104
Financial Assets Designated at Fair Value through Profit or Loss	22,876	-	-	22,876
Income	326,811	-	2,993	329,804
	349,687	43,104	2,993	395,784
Financial Liabilities				
Derivative Financial Liabilities	-	45,099	-	45,099
	-	45,099	-	45,099

	RUPEES IN THOUSANDS			
	LEVEL 1	LEVEL 2	LEVEL 3	TOTAL (AUDITED)
As at 31 December 2022				
Financial Assets				
Derivative Financial Assets	-	70,733	-	70,733
Financial Assets Designated at Fair Value through Profit or Loss	59,561	-	-	59,561
Income	329,512	-	2,993	332,505
	389,073	70,733	2,993	462,799
Financial Liabilities				
Derivative Financial Liabilities	-	20,880	-	783,200
	-	20,880	-	783,200

Derivative Financial Assets and Liabilities:

Derivative products are promissory forward foreign exchange transactions, valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include promissory forward foreign exchange spot and Net Present Value.

Financial Assets Recognised through Profit or Loss - Measured at Fair Value, Financial Assets Measured at Fair Value through Other Comprehensive Income

The estimated fair values are based on quoted and observable market prices.

Financial Instruments not carried at Fair Value

Set out below is a comparison, by class, of the carrying amounts and fair values of the Bank's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of Non-Financial Assets and Non-Financial Liabilities.

	30.9.2023		31.12.2022	
	CARRYING VALUE	FAIR VALUE	CARRYING VALUE (AUDITED)	FAIR VALUE (AUDITED)
Financial Assets				
Cash and Cash Equivalents	12,982,115	12,990,825	22,603,294	22,603,294
Balance with Central Bank of Sri Lanka	9,264,301	9,264,301	5,085,679	5,085,679
Placements with Banks	31,658,467	31,669,734	24,570,292	24,573,057
Placements with Other Companies	80	80	77	77
Customers	87,060,506	84,497,660	83,185,917	79,698,416
Other Assets - Financial	3,297,963	3,297,963	2,323,566	2,323,566
	144,263,432	141,720,563	137,768,825	134,284,089
Financial Liabilities				
Due to Banks	423,937	423,937	11,856,723	11,856,723
Financial Liabilities at Amortised Cost - Due to Depositors	128,329,241	128,329,241	112,546,017	112,546,017
Other Liabilities - Financial	3,240,723	3,240,719	2,041,967	2,041,967
	131,993,901	131,993,897	126,444,707	126,444,707

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the Financial Statements:

Balances with Banks, Balances with Licensed Finance Companies, Other Financial Assets and Other Financial Liabilities

For the above, the carrying value is a reasonable estimate of fair values.

Financial Assets at Amortised Cost - Financing and Receivables to Other Customers

The fair value of the above are estimated by discounting the estimated future cash flows using the prevailing market rates for financing as of the reporting date with similar credit risks and maturities (Level 3).

Financial Liabilities at Amortised Cost - Due to Depositors

The fair values of the above are deemed to approximate their carrying amounts as rate of returns are determined at the end of their holding periods based on the profit generated from the relevant investments.

NOTES TO THE FINANCIAL STATEMENTS

07. SELECTED PERFORMANCE INDICATORS (AS PER REGULATORY REPORTING)

	AS AT 30.9.2023	AS AT 31.12.2022 (AUDITED)
Regulatory Capital (Rs. '000)		
Common Equity Tier 1 (before applicable adjustments)	14,108,057	13,267,685
Common Equity Tier 1 (after applicable adjustments)	13,216,849	12,336,541
Tier 1 Capital	13,216,849	12,336,541
Total Capital	16,172,968	14,960,985
Regulatory Capital Ratios (%)		
Common Equity Tier 1 Capital Ratio (Minimum Requirement 7.0%)	12.4%	13.0%
Tier I Capital Ratio (Minimum Requirement 8.5%)	12.4%	13.0%
Total Capital Ratio (Minimum Requirement 12.5%)	15.2%	15.8%
Leverage Ratio % (Minimum Requirement 3%)	8.4%	7.4%
Assets Quality (Quality of Financing and Advance Portfolio)		
Impaired Financing and Advances (Stage 3) Ratio (%)	1.6%	2.1%
Impairment (Stage 3) to Stage 3 Financing and Advances Ratio (%)	55.9%	37.9%
Profitability		
Financing Margin (%)	4.5%	3.6%
Return on Assets (Before Tax)	1.5%	0.9%
Return on Equity	8.1%	5.6%
Regulatory Liquidity		
Statutory Liquid Assets		
- Domestic Banking Unit (Rs. in Millions)	43,794	35,744
- Foreign Currency Banking Unit (USD '000)	2,398	1,581
Statutory Liquid Assets Ratio % (Minimum Requirement 20%)		
- Consolidated	34.0%	28.3%
Total Stock of High Quality Liquid Assets (Rs. in Millions)	12,547	8,256
Liquidity Coverage Ratio (%) (Minimum Requirement 100%)		
- Rupee (%)	250.0%	150.3%
- All Currency (%)	212.6%	126.5%
Net Stable Funding Ratio (%) (Minimum Requirement 100%)	213.0%	187.8%

NOTES TO THE FINANCIAL STATEMENTS

08. SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

FOR THE PERIOD ENDED 30 SEPTEMBER 2023	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	RUPEES IN THOUSANDS	
					UNALLOCATED / ELIMINATION	TOTAL
Income						
Financing Income	3,081,592	7,871,092	10,952,684	2,021,610	-	12,974,294
Net Fee and Commission Income	235,961	460,660	696,621	20,551	(15,721)	701,451
Net Trading Income	-	-	-	1,166,979	-	1,166,979
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	16,836	-	16,836
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	119	-	119
Other Operating Income	-	-	-	2,118	-	2,118
Total Income	3,317,553	8,331,752	11,649,305	3,228,213	(15,721)	14,861,797
Less						
Financing Expenses			(7,606,613)	(491,133)	(26,171)	(8,123,917)
Impairment Charges			(1,430,434)		(18,315)	(1,448,749)
Operating Expenses			(1,922,374)	(796,412)	(27,462)	(2,746,248)
Operating Profit Before VAT on FS & SSCL			689,884	1,940,668	(87,669)	2,542,883
VAT on FS & SSCL						(866,060)
Profit Before Tax						1,676,823
Tax Expenses						(785,365)
Profit After Tax						891,458
Total Assets	23,653,524	63,406,982	87,060,506	44,683,765	16,547,055	148,291,326
Total Liabilities	96,013,335	32,315,906	128,329,241	345,407	4,417,651	133,092,299

FOR THE PERIOD ENDED 30 SEPTEMBER 2022	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	RUPEES IN THOUSANDS	
					UNALLOCATED / ELIMINATION	TOTAL
Income						
Financing Income	2,160,145	4,512,248	6,672,393	1,419,453	-	8,091,846
Net Fee and Commission Income	178,442	333,816	512,258	18,306	(14,335)	516,229
Net Trading Income	-	-	-	637,146	-	637,146
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	(7,934)	-	(7,934)
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	(257)	-	(257)
Other Operating Income	-	-	-	3,001	-	3,001
Total Income	2,338,587	4,846,064	7,184,651	2,069,715	(14,335)	9,240,031
Less						
Financing Expenses			(4,096,808)	(861,135)	(29,992)	(4,987,935)
Impairment Charges			(756,131)	(2,432)	-	(758,563)
Operating Expenses			(1,519,409)	(625,093)	(25,004)	(2,169,506)
Operating Profit Before VAT on FS			812,303	581,055	(69,331)	1,324,027
VAT on FS						(384,039)
Profit Before Tax						939,988
Tax Expenses						(339,495)
Profit After Tax						600,493
Total Assets	26,510,616	56,923,616	83,434,232	49,006,123	10,418,641	142,858,996
Total Liabilities	84,361,199	25,362,835	109,724,034	15,574,603	3,337,538	128,636,175

EXPLANATORY NOTES

1. These Interim Financial Statements have been prepared in accordance with LKAS 34 - Interim Financial Reporting and present information required by Listing Rules of Colombo Stock Exchange.
2. The interim condensed Financial Statements do not include all the information and disclosure required in the Annual Financial Statements, and should be read in conjunction with Annual Financial Statements as at 31 December 2022.
3. The accounting policies adopted in the presentation of the interim condensed Financial Statements are consistent with those followed in the preparation of the Bank's Annual Financial Statements for the year ended 31 December 2022.
4. There are no material events that took place after the Statement of Financial Position date which require adjustment to or disclosures in the Financial Statements other than the following:

The Board of Directors unanimously resolved to increase the Bank's Stated Capital by Rs. 6,675,214,939.50 by issuing 2,902,267,365 Ordinary Shares at Rs. 2.30 per share by way of a Rights Issue. On 1 November 2023, 1,824,777,767 shares amounting to Rs. 4,196,988,864.10 were subscribed and 1,077,489,598 shares amounting to Rs. 2,478,226,075.40 is pending allotment.

In terms of the resolution approved by the Shareholders at the Extraordinary General Meeting held on 21 September 2023 and in line with Article 6(3) of the Articles of Association of the Bank, the Board of Directors are authorised to allocate the shares pending allotment based on the receipt of applications from parties acceptable to the Board, which is ongoing currently.

5. Comparative figures have been restated wherever necessary to conform to the current period's presentation.
6. There has not been a significant change in the nature of the contingent liabilities as disclosed in the Annual Report of 2022
7. Market Price of Ordinary Shares (the Bank listed its ordinary shares on the Colombo Stock Exchange on 29 January 2014) :

	2023 Rs.	2022 Rs.
Last Traded Price as at 30 September	2.30	3.50
Highest Market Price during the quarter ended 30 September	2.80	3.80
Lowest Market Price during the quarter ended 30 September	2.30	2.60

EXPLANATORY NOTES

09. TWENTY LARGEST SHAREHOLDERS AS AT 30 SEPTEMBER 2023

No	Name of Shareholder	No. of Shares	%
1	IB Growth Fund (Labuan) LLP	686,386,229	23.65%
2	Seylan Bank PLC/Senthilvel Holdings (Pvt) Ltd	290,226,736	10.00%
3	Mr. Mohamed Haji Omar	247,161,431	8.52%
4	Bank Islam Malaysia Berhad	209,499,165	7.22%
5	AB Bank Limited	209,499,164	7.22%
6	Islamic Development Bank	183,392,984	6.32%
7	Akbar Brothers (Pvt) Ltd A/c No 1	183,024,592	6.31%
8	Domon Ltd	115,739,964	3.99%
9	Millennium Capital Investments (Pte) Ltd	81,381,330	2.80%
10	Mr. Shafik Kassim	64,452,364	2.22%
11	Mr. Osman Kassim jointly with Mrs. K. Kassim	49,087,621	1.69%
12	Mr. Sattar Kassim	47,067,210	1.62%
13	Mr. Nagi Saleh Mohammed Al Faqih	43,375,913	1.49%
14	Mr. Sathiyamurthy Chandramohan	34,807,845	1.20%
15	Mr. Saifullah Yusoof	23,000,000	0.79%
16	Mr. Ahamed Mihilar Mohamed Fazal Jiffry	16,573,406	0.57%
17	Mr. Feroz Omar	14,461,989	0.50%
18	ABC International Limited	13,830,315	0.48%
19	Seylan Bank PLC / Agampodi Chamara Senaka	9,267,026	0.32%
20	Lanka Commodity Brokers Limited	7,127,252	0.25%
Sub total		2,529,362,536	87.15%
Other Shareholders (Number of Shareholders 9,443)		372,904,829	12.85%
Total		2,902,267,365	100.00%

Percentage of Public Holding as at 30 September 2023	32.45%
Number of Shareholders	9,443
Float adjusted market capitalisation	Rs 2.17 Bn

Bank complies with the minimum public holding requirement under option 5 as specified by rule 7.13.1 (a) of the Listing Rules of Colombo Stock Exchange

10. DIRECTORS' HOLDING IN SHARES AS AT 30 SEPTEMBER 2023

Name	No. of Shares
Mr. Ali Asghar Akbarally	Nil
Mr. Dilshan Hettiaratchi	Nil
Mr. Aaron Russell-Davison	Nil
Mr. M Ataur Rahman Chowdhury	Nil
Mr. S M Asim Raza	Nil
Mr. Tishan Subasinghe	Nil
Mr. Omar Farook Kassim	Nil
Mr. Mohamed Adamaly	Nil
Mr. Mohamed Azmeer	580,128
Mr. Mohammad Hassan	Nil
Mr. K M P B Abdullah	Nil